Defense is also required to provide a 15-day notification of the upcoming reimbursement, as well as quarterly reports to the House and Senate Committees on Appropriations and the House and Senate Armed Services Committees on the use of funds made available for payments to Pakistan and other CSF recipients. Congress passed the National Defense Authorization Act for Fiscal Year 2008, which now requires Defense to submit an itemized description of logistic support, supplies, and services "provided by Pakistan to the United States for which the United States provided reimbursement" during the period beginning February 1, 2008 and ending September 30, 2009.[14] The CSF process is detailed in figure 2.

In July 2006, the Comptroller provided the Pakistani government with a cost template and information intended to clarify the types of costs that were reimbursable under CSF and the information the Comptroller required to support Pakistan's reimbursement claims. Furthermore, according to Defense, the Office of the Under Secretary of Defense for Policy emphasized the importance of enhancing transparency within Pakistan's CSF claims in a June 2007 letter to the Pakistan Ministry of Defense.

DEFENSE DID NOT CONSISTENTLY APPLY ITS EXISTING GUIDANCE, AND ADDITIONAL PROCEDURES ARE NEEDED TO ENSURE ACCOUNTABILITY OVER CSF TO PAKISTAN

We found that Defense did not consistently apply existing CSF guidance and that certain deficiencies existed in their oversight procedures.[15] We reviewed the Pakistani claims for January 2004 through June 2007, as well as related CENTCOM and Comptroller memos, to determine if DOD had consistently applied the Comptroller criteria issued in December 2003. The memos prepared by the Comptroller generally included the four macro-level analytical reviews outlined in the criteria; however, implementation of these criteria was not sufficient to validate claimed costs. For example, the Comptroller generally performed a comparison of total claimed costs to the estimated U.S. cost to provide the same services; however, there was not enough information in the Pakistani claims to determine that the claimed amount and the estimated U.S. cost included the same expenses or that the claimed costs were valid. Defense guidance developed by the Comptroller calls for obtaining sufficient information to validate Pakistani claims to determine that costs were incurred, reasonable, and appropriate. However, Defense did not fully implement this criteria. For example, Defense reimbursed Pakistan over $2 billion for claims from January 2004 through June 2007 without obtaining detailed documentation that would allow a third party to recalculate the costs. In addition, Defense often did not adequately document the basis for their decisions to allow or disallow claims, and we found inconsistencies in Defense payments that were not explained. As a result, Defense may have paid costs that were (1) not incremental, (2) not based on actual activity, or (3) potentially duplicative. We also found that additional oversight controls were needed. Specifically, while Comptroller guidance calls for a historical comparison of claimed costs, the guidance does not indicate why or how the comparison should be performed. Additionally, Defense did not verify the currency conversion rates used by Pakistan from January 2004 through June 2007 and, as a result, may have overpaid Pakistani claims due to the devaluation of the Pakistan rupee.

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